Part A: Case Study (UPI/Online Payment Fraud)

The "Refund" Trap: A Realistic Scenario

Online payment fraud, specifically via the Unified Payments Interface (UPI), involves tricking victims into authorizing transactions that drain their bank accounts. In this realistic scenario, Arjun, a college student in Bengaluru, lists an old textbook on a popular resale platform.

How it Happens (Step-by-Step):

1. **The Hook:** A "buyer" contacts Arjun immediately, claiming to be interested. They offer to pay the full price upfront to "secure" the item.
2. **The Deception:** The fraudster sends a QR code via WhatsApp, claiming Arjun needs to scan it to "receive" the payment.
3. **The Trigger:** When Arjun scans the code, his UPI app opens and asks for his **UPI PIN**. The fraudster pressures him over the phone, saying, "Just enter the PIN to verify your bank link."
4. **The Theft:** The moment Arjun enters his PIN, money is debited *from* his account instead of being credited *to* it.

Targets: Anyone using digital wallets is a target, but students and the elderly are often prioritized due to high activity on resale apps or limited technical knowledge of how UPI protocols work.

Consequences: Beyond the immediate financial loss—which can range from a few thousand to lakhs of rupees—victims often face significant emotional distress, a loss of trust in digital systems, and the arduous process of filing police reports and bank disputes.